



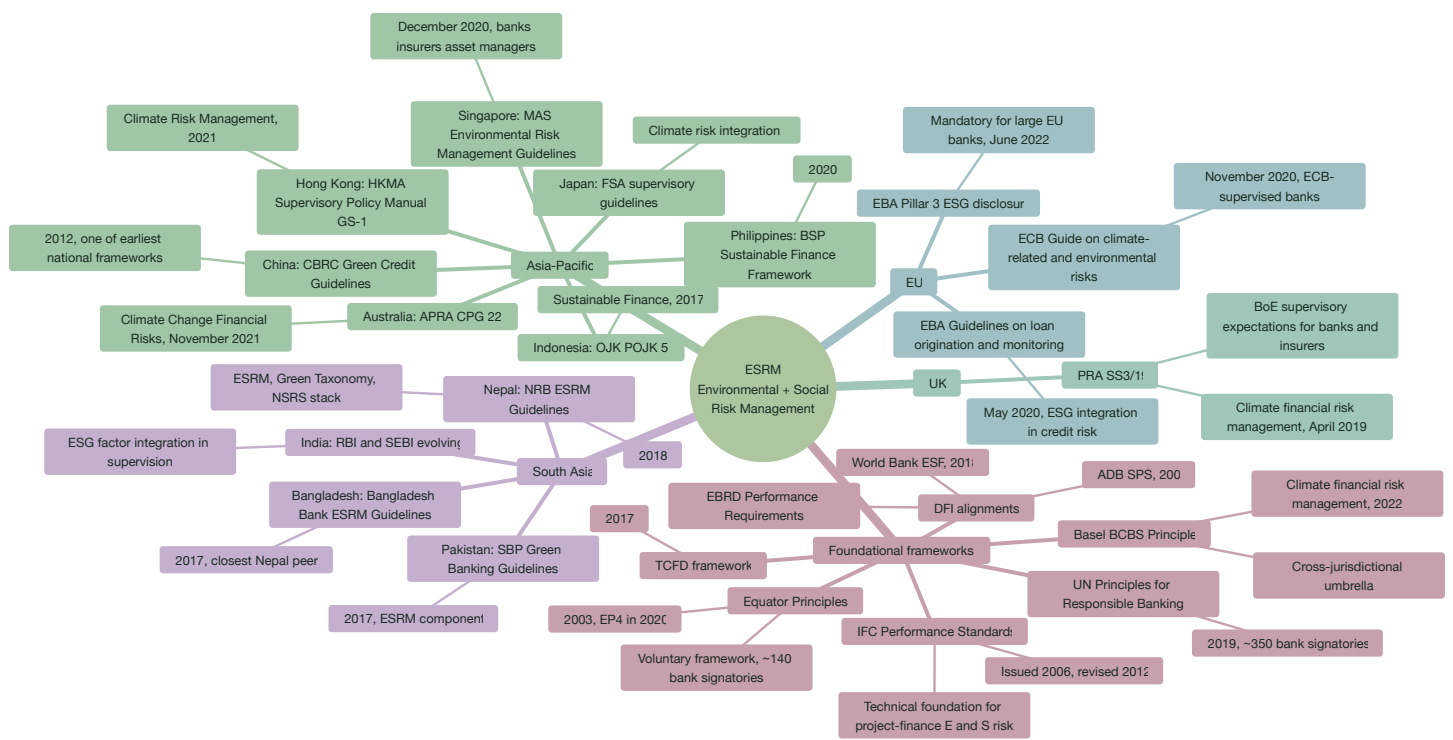
ESRM Origins and Adoption (Nepal ESRM Guidelines)

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A view of how **Environmental and Social Risk Management (ESRM)** frameworks originated in international finance institutions, were embedded into voluntary commercial banking codes, and have since been adopted into central-bank supervision across South Asia, Asia-Pacific, the UK, and the EU.

For context: ESRM in its modern form originates with the **IFC Performance Standards** (2006, revised 2012), which became the technical foundation for the **Equator Principles** (2003), the voluntary framework adopted by major commercial banks for project finance. Over the following two decades, national central banks and securities regulators have layered ESRM-equivalent supervision into their BFI frameworks. The most explicitly "ESRM"-named regulations appear in South Asia (Bangladesh 2017, Nepal 2018, Pakistan 2017). Asia-Pacific, UK, and EU regulators have issued analogous frameworks under different names ("environmental risk management", "climate risk management", "ESG risk integration").

Origins and Adoption by Region



Reading Notes

Acronym key

Acronym	Full Name
ADB	Asian Development Bank
APRA	Australian Prudential Regulation Authority
BCBS	Basel Committee on Banking Supervision
BFI	Banking and Financial Institution
BoE	Bank of England
BSP	Bangko Sentral ng Pilipinas (central bank of the Philippines)
CBRC	China Banking Regulatory Commission
CPG	APRA Prudential Practice Guide format

Acronym	Full Name
DFI	Development Finance Institution
EBA	European Banking Authority
EBRD	European Bank for Reconstruction and Development
ECB	European Central Bank
EP	Equator Principles (EP4 = fourth edition, 2020)
ESF	Environmental and Social Framework (World Bank, 2018)
ESG	Environmental, Social, and Governance
ESRM	Environmental and Social Risk Management
FSA	Financial Services Agency (Japan)
HKMA	Hong Kong Monetary Authority
IFC	International Finance Corporation (World Bank Group)
IFC PS	IFC Performance Standards
MAS	Monetary Authority of Singapore
NRB	Nepal Rastra Bank
NSRS	Nepalese Sustainability Reporting Standards
OJK	Otoritas Jasa Keuangan (Indonesia financial services authority)
PRA	Prudential Regulation Authority (UK, under Bank of England)
PRB	Principles for Responsible Banking (UN)
RBI	Reserve Bank of India
SBP	State Bank of Pakistan
SEBI	Securities and Exchange Board of India
SPM	Supervisory Policy Manual (HKMA)
SPS	Safeguards Policy Statement (ADB, 2009)

Acronym	Full Name
SS	Supervisory Statement (PRA format)
TCFD	Task Force on Climate-related Financial Disclosures
UN	United Nations

Three patterns of adoption

1. International framework origins. ESRM derives from the IFC Performance Standards (2006, revised 2012), which formalized how project-finance lenders should screen, classify, and manage environmental and social risks in borrower transactions. The IFC PS framework was directly imported into the Equator Principles (2003) as the technical foundation, and later mirrored in World Bank ESF, ADB SPS, and EBRD Performance Requirements.

2. Voluntary commercial bank adoption. The Equator Principles voluntary code, now in its fourth edition (EP4, 2020), has approximately 140 signatory banks globally. UN Principles for Responsible Banking (2019) and TCFD (2017) layered additional voluntary commitments. These voluntary codes created industry-wide expectations even where regulators had not yet acted.

3. Mandatory central-bank supervision. Over the past decade, national central banks and prudential regulators have made ESRM-equivalent supervision mandatory for their BFI sectors. China was among the earliest (CBRC Green Credit Guidelines, 2012). South Asian central banks (Bangladesh Bank 2017, Nepal NRB 2018, SBP 2017) explicitly use "ESRM" naming. UK PRA, ECB, MAS, HKMA, and APRA use varying terminology ("climate financial risk", "environmental risk", "ESG integration") for substantively similar regulatory expectations.

What is intentionally absent

- **US framework:** US bank supervisors (Federal Reserve, OCC, FDIC) have issued climate risk principles but no comprehensive ESRM-equivalent regulation. Out of scope for this map.
- **Voluntary corporate frameworks (GRI, SBTi, CDP):** these are sustainability reporting and target-setting frameworks for corporates, not BFI risk management supervision.
- **EU CSRD and ISSB / IFRS S1+S2:** these are sustainability disclosure standards covered in the separate ISSB Adoption document. They overlap with ESRM but are distinct regulatory categories.

Sources and caveats

This is a simplified view as of mid-2026. Effective dates, mandatory-vs-voluntary scope, and supervisory expectations evolve rapidly in this area. Verify with the jurisdiction's central bank or prudential regulator before citing for official purposes. The Basel Committee on Banking Supervision and the IFRS Foundation jurisdictional profiles are useful starting points for current cross-jurisdictional status.

General regulatory reference.